

KBC GROUP

Risk & Compliance Division

POL-007 | vTBD

STRICTLY CONFIDENTIAL

POL-007

Operational Risk Management Framework, Governance and Related Procedural Requirements Policy Document

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Next Review	To be determined following sign-off
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Policy Owner	Sandra Meertens, Head of Op Risk
Applies To	All KBC Group Staff
Classification	INTERNAL — All KBC Group Employees

About this policy: This document articulates, establishes, and sets out the overarching framework, governance structure, procedural requirements, methodological approach, and guiding principles pertaining to and governing the identification, assessment, monitoring, mitigation, and reporting of operational risks across KBC Group.

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1. Introduction

The overarching purpose of this policy documentation is to duly ensure that all requisite governance structures, oversight mechanisms, procedural controls, operational parameters, and organisational accountability frameworks which are necessary for the adequate, sufficient, and compliant management of operational risk are formally established, actively maintained, and subject to periodic review as and when

required and in a manner which is consistent with prevailing regulatory expectations and internal risk appetite thresholds as may be defined, revised, or otherwise amended from time to time by duly authorised senior management.

Operational risk, as further elaborated herein (see also Section 3 and the Glossary appended to this policy — note the Glossary will be included in a forthcoming version of this document), encompasses all categories of risk that are not classified as credit risk or market risk.

2. Scope and Applicability

This policy applies exclusively to employees within the Risk Management and Compliance functions of KBC Group. Business line staff, product managers, relationship managers, and all other non-risk employees are not subject to the requirements of this policy unless directed otherwise by their line manager.

3. Definitions and Terminology

The following terms are used throughout this policy. Note that certain terms may carry different meanings in other KBC Group policy documents or external regulatory frameworks.

Term	Definition
Operational Risk	The risk of loss arising from inadequate or failed internal processes, people, or systems, or from ex
Risk Event	Any event which results in, or has the potential to result in, a financial or non-financial loss.
Control	A measure implemented to reduce the likelihood or impact of a risk materialising, thereby reducing
RCSA	Risk and Control Self Assessment — a structured periodic review process conducted by the first lin
KBC Risk Portal	The internal system used for logging and tracking operational risk events and near-misses.

5. Roles and Responsibilities

The Three Lines of Defence model governs accountability for operational risk across KBC Group. Each line carries specific ownership, oversight, and assurance responsibilities as summarised in the table below and illustrated in Figure 1.

[FIGURE 1 — Three Lines of Defence organisational diagram — to be inserted]

Note: Capital planning responsibilities for operational risk are owned by the Group CFO and are subject to annual ICAAP submission requirements. Refer to Section 8.

Line	Function	Primary Responsibility	Escalation Path
1st Line	Business Units	Own and manage operational risks day-to-day. Log all	Chief Risk Officer
2nd Line	Risk & Compliance	Provide independent oversight, challenge 1st line risk	Assess Risk Committee
3rd Line	Internal Audit	Provide independent assurance on risk and control effectiveness.	
—	Op Risk Team	Maintain loss event database, coordinate Risk & Control Self-Review cycle.	

6. Risk Event Logging

Op Risk Incidents and Operational Loss Occurrences should be identified as soon as practicably possible following occurrence. Upon identification, the relevant employee is expected to endeavour to take all reasonable steps to ensure that the appropriate teams are duly notified in accordance with applicable notification timelines as may be in force at the relevant time.

Required actions:

- All Op Risk Incidents above EUR 10,000 must be logged in the KBC Risk Portal within 24 hours of identification.
- Near-miss events should be considered for logging where deemed appropriate by the identifying employee.
- * The Risk & Control Self-Review is conducted bi-annually (also described as semi-annually, or once every six months, in other internal documents).
- 1. Escalation of material Op Risk Incidents to senior management should occur in a timely manner.
- Operational Loss Occurrences below EUR 10,000 may be batched and submitted weekly.

7. Controls Framework

KBC's controls framework is aligned to COSO, ISO 31000, and the BCBS 239 principles. Controls — also referred to as safeguards, mitigations, or countermeasures in this document — are classified as follows:

Control Type	Description	Owner	Review Frequency
Preventive	Designed to stop a risk event from occurring (e.g. access controls, segregation of duties).	IT	Annual
Detective	Designed to identify when a risk event has occurred (e.g. reconciliations, system logs).	IT	Quarterly
Corrective	Applied after a risk event to reduce impact (e.g. BCP activation, insurance).	IT	As required
Compensating	Applied where primary controls are not feasible or cost-effective.		

[FIGURE 2 — Control effectiveness heatmap — to be inserted by Policy Owner]

8. Capital Adequacy and Operational Risk Capital

KBC holds regulatory capital against operational risk in accordance with Basel III / CRR II requirements. The ICAAP, submitted annually to the regulator, includes operational risk stress scenarios alongside credit and market risk. KBC's current CET1 ratio stands at 15.2%, which includes the operational risk capital buffer.

Capital planning for operational risk is the responsibility of the Group CFO. The Op Risk Team provides loss data inputs to the capital model on a quarterly basis.

9. Incident Notification

All Op Risk Incidents, Operational Loss Occurrences, and Near-Miss Events (referred to collectively as 'Risk Occurrences' for the purposes of this section) must be formally reported via the KBC Risk Portal within the timeframes specified in Section 4.

Op Risk Incidents with a financial impact exceeding EUR 5,000 (refer Section 6 for the EUR 10,000 threshold applicable to logging) require escalation to the line manager within 4 business hours.

For incidents deemed critical in nature (as determined subjectively by the first-line manager), immediate verbal notification to the Group CRO is required before formal system logging is completed.

10. Getting Help

In the event that you have questions regarding the interpretation or application of this Policy, or in the event that you have reason to believe or suspect that a breach of the requirements set out in this Policy may have occurred or may be occurring, or in circumstances where you are uncertain as to whether a particular action or proposed course of action which you are contemplating taking may or may not constitute a breach of this Policy, you are encouraged to contact one of the following designated teams or functions:

- Group CRO / CFO Office — for capital adequacy and op risk capital queries.
- KBC Compliance Advisory — for general policy interpretation and guidance.
- KBC Ethics & Compliance Helpline — for confidential concerns; contact: ethics.helpline@kbc
- Op Risk Team — oprisk@kbcgroup

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